The state has a monopoly of violence. All activities of the state are grounded in coercion: either directly (when the state demands that private persons behave in certain ways) or indirectly (when the state uses threats of violence to collect tax revenues, and then spends them in certain ways). Coercion of private persons is the unique thing that only the state can do. Coercion is an unpleasant thing and can easily go wrong. Building the republic is about creating ethical control systems that contain and channel state violence for the common good.

The founding intuition of the field of public policy is the notion that freedom works pretty well. Left to themselves, free men and women achieve reasonably good outcomes in most situations.

Freedom works well most of the time, but there are exceptions: the four kinds of ‘market failure’. These are: Externalities, public goods, market power and asymmetric information. On its own, the free market often fares poorly at dealing with these situations. This is where the state can add value in society, by addressing market failure.

All states do some amount of redistribution. For example, relief work done by the government after a natural disaster is a case of transferring the money obtained in coercive ways (through taxation) from the populace to the affected people.